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Guide 4:

How to Set Up an Effective Operational-level Grievance Mechanism



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This guide of the amfori BSCI System Manual provides guidance to amfori BSCI members and their business partners on how to set up an effective operational-level grievance mechanism (OGM).

Additionally, it provides guidelines for monitoring persons, as a complement to Part III of the amfori BSCI System Manual and the amfori BSCI monitoring implementation guidelines.

Effectiveness criteria that an operational-level grievance mechanism should include

Following UN Guiding Principle 31, the table below describes the necessary criteria of an effective grievance mechanism. Understanding and respecting these criteria will help companies to:

- Establish and maintain an effective OGM that is trusted and as a result used by their workers
- Receive and handle grievances in a mature and effective manner understanding that each grievance is an opportunity for continuous improvement

Criteria	Checklist
Legitimate	**All involved stakeholders should recognise the grievance mechanism as legitimate. Particularly, stakeholders should feel that they are able to raise their grievances without fear of victimisation or negative consequences. Key actions ensuring that your grievance mechanism is legitimate include:**
	• Consult all relevant stakeholders (such as management, workers, workers representatives, etc.) when setting up and as part of a regular evaluation exercise to tailor it to the needs of your OGM users, especially those at heightened risk of vulnerability or marginalisation, and continuously improve where necessary
	• Adopt a gender perspective to understand the structural, sociocultural and economic barriers that may prevent women from participating in the OGM process on an equal basis with men
	• Inform all relevant stakeholders on the OGM's mandate, objectives, operations and process and uphold these consistently to manage expectations where needed
	• Make sure that the OGM staff is suitably qualified and enjoys continuous training opportunities to adequately assess and handle incoming complains and are held to high standards of personal and professional conduct
	• Guarantee the independence of the OGM from the company and other actors whose activities may be subject of grievances by adopting and disseminating, robust policies on safeguarding against retaliation, internal investigations and ethical matters (e.g. conflict of interest)
Accessible	**Internal and external stakeholders should know that the mechanism exists and how to use it. Key actions ensuring that your grievance mechanism is accessible include:**
	• Inform workers about the rights they have and how the grievance mechanism contributes to realising them
	• Make sure that the criteria to access the grievance mechanism are clear, minimal and properly disseminated and fairly applied
	• Design the grievance handling process in such a way that: • There are multiple (informal) access channels that address access barriers for particularly vulnerable groups (such illiterates, women, children, etc.) • It promotes dialogue-based conflict resolution methods • Sufficient time is given to people to identify, raise and respond to an issue • People can defend themselves or are allowed to be represented by a third party • People can collaborate and submit a collective grievance • You do not require any person to waive their right to seek a remedy using an alternate grievance mechanism, as an access condition • There is no access fee and potential financial costs are minimised • It assigns an appropriate degree of confidentiality for the person raising the grievance and minimises the risk of retaliation
	• Guarantee that any grievance mechanism information is displayed (face to face engagement, notice boards, new hire orientation, social media, education sessions, etc.) in the format (leaflets, posters, etc.) and in the language(s) appropriate for the people using it

Predictable	**The stakeholders using the mechanism need to be informed about the (ongoing) processes, outcomes and performance of the mechanism. Key actions ensuring that your grievance mechanism is predictable include:**
	• Set-up of grievance resolution processes that include well-defined, reasonable and flexible frames for each grievance handling stage
	• Consult the people that submitted a grievance when: • Joining similar grievances • Appointing a third party to investigate, mediate or adjudicate the grievance • Undertaking any joint investigations with a third party
	• Publish understandable information relating to the received grievances and their outcome
Equitable	**The mechanism should address (potential) power imbalances between the different stakeholders.** **Key actions ensuring that your grievance mechanism is equitable include:**
	• Provide advisory and/or financial support to stakeholders filing a grievance
	• Design the grievance handling process in such a way that: 1. Relevant case documents are shared regularly with and copies can be requested by the case parties 2. Information can be verified and commented upon by the relevant case parties before a material decision is made
	• At the end of the process, case parties receive in a readily- understandable format an overview of: (i) the process, outcomes and reasons for made case handling decisions; (ii) any agreement between the case parties regarding the remediation activities; and (iii) steps and time limits to challenge the grievance process and/ or its outcome, and, options for further action in case of non-compliance with the agreed remediation activities
	• Seek, where possible, the views of stakeholders as is claimed by third parties acting on their behalf
Transparent	**Internal and external stakeholders should be able to see that the mechanism is working. Key actions ensuring that your grievance mechanism is transparent include:**
	• Engage continuously and pro-actively with the case parties informing them about the status of each grievance handling process step
	• While considering the need for confidentiality and minimising the risk of retaliation, provide regular updates on the grievance mechanism's performance, including: • Types and nature of grievances • The number of grievances • The number of rejected grievances and on which ground they were rejected • The number of completed grievances including by type of grievance • A short description per grievance, without revealing sensitive details, including the receiving date, a description in general terms, the investigation and remediation measures and the resolution date

Rights-compatible	**The mechanism's grievance handling process and its outcomes are aligned with key legislative frameworks. Key actions ensuring that your grievance mechanism is rights-compatible include:**
	• Ensure that provided remedies are adequate, effective, prompt and aligned with (international) human rights standards; and are culturally appropriate and gender-sensitive
	• Consult impacted stakeholders meaningfully about the type of remedy and how it should be provided
	• Assess the effectiveness and implementation of outcomes and remedies and take corrective action where needed
	• Make arrangements to address non-compliance with remedy outcomes, such as: • The use of mechanisms with the power to compel performance • Establishment of a (third party) implementation monitoring process • Referral of the grievance to another mechanism in accordance with rules, policies and agreements regarding confidentiality and consent
Continuous Learning & Dialogue	**Install the processes and tools that guarantee that the mechanism is trusted, used and continuously improved. Key actions ensuring that your grievance mechanism is based on continuous learning and dialogue include:**
	• Seek feedback from stakeholders during the mechanism's set-up and throughout the grievance handling process to better understand how it can be improved
	• Keep databases (with necessary safeguards to manage this amount of data) on frequency, patterns and causes of grievances to gain more insights as to how to prevent future grievances
	• Use of dialogue, mediation and joint problem-resolving techniques and provide training to the mechanism's staff
	• Install a system to track the effectiveness of the mechanism's management and grievance handling process
	• Consider the use of external experts (independent advisory panels, civil society organisations, trade unions, etc.) in the grievance handling process

Basic content

A grievance can be defined as any concern, unhappiness, or discontent that an individual or groups might have in or regarding the workplace.

Grievances can be related to a wide range of issues (non-exhaustive list):

Infrastructure: For example, the working room does not have sufficient lighting or ventilation, or the space assigned to the worker is not sufficient to safely conduct the work

Personal relations: For example, a supervisor has used physical or verbal harassment, or there is a conflict between co-workers

Contractual rights: For example, payment is systematically delayed, there are illegal deductions, or overtime is not paid at the premium rate or is paid in a lower amount than initially agreed

Human and labour rights: For example, a worker has suffered discrimination based on gender, religion, or place of origin; a worker has been punished because of attending a trade union meeting; or the water available during working time is not drinkable

Customary rights: For example, requested time to pray or to participate in community activities has not been allowed

Workers' grievances may also be related to issues other than what is described above in the five categories. In such cases, an individual or groups may still lodge the grievance internally while seeking third party assistance (worker representatives, trade unions, etc.)

Grievances can also originate from groups (workers, local community members, etc.) relating to business operations impacting them negatively. The reach-out and possibilities to access the operational-level grievance mechanism should reflect this and ensure accessibility for those groups in addition to individuals.

Basic elements of a grievance mechanism procedure

The effectiveness of the grievance mechanism is part of the amfori BSCI monitoring scope. At a minimum, the grievance mechanism procedure should ensure that individuals or groups have:

- **Access to supervisor:** The possibility to hold an open and constructive meeting about a grievance with their immediate supervisor or manager can prevent escalation of the problem
- **The right to appeal:** An escalation channel to a more senior manager to challenge a decision made by their supervisor or manager can add impartiality
- **Access to support:** Individuals or groups should have the right to be accompanied by a (legal) representative of their choosing (fellow worker, trade union representative, NGO, etc.) Access to support can make workers more comfortable with the process

The questions below can help to assess the soundness of the grievance mechanism procedure:

Who can lodge a grievance? A good grievance mechanism procedure must ensure that all individuals or groups regardless of their roles or seniority can lodge a grievance. Additional channels for external grievances by impacted communities should be created. Additionally, Individuals or groups might seek the support of a (legal) representative of their choosing (fellow worker, trade union representative, NGO, etc.)

How is a grievance lodged? A good grievance mechanism procedure must describe the preferred mechanism for filing a grievance and specify if a specific grievance form is needed
(see example below)

Usually, the first step is to make a verbal grievance to someone (e.g., verbal grievance to the direct supervisor). The escalation of the grievance to a higher level of management (or the person in charge of the grievance mechanism) occurs most often through a grievance form (see an example below). Although both verbal and written systems may work, for tracking purposes, members and their business partners are recommended to have individuals or groups use a written grievance form.

Who collects the grievance forms?
In general, it is recommended that the individual or group should lodge the grievance firstly with their immediate supervisor or manager.

If the grievance is raised about their own supervisor or manager or it cannot be adequately addressed by their immediate supervisor or manager, the grievance will need to be submitted to the person in charge of the grievance mechanism. It is also recommended that members and their business partners appoint somebody well trained to deal with grievances and that workers are aware of who that person is. If not, workers' grievances should be processed through the company's existing management structure. The responsible person(s) should be well aware on non-retaliation practices grievances can be filed on a trust-basis and complainants feel comfortable coming forward.

Appointing a person to deal with grievances enforces:

Transparency and predictability: Everyone in the company knows from the beginning who is supposed to learn about a grievance first

Efficiency: The grievance does not get lost throughout the different departments in the company, and it can be addressed immediately

Recommended Steps For Handling Grievances

Step 1: Acknowledge Grievance

The supervisor or person in charge of the grievance mechanism should acknowledge receipt of the grievance form in writing with a simple statement.

Simple statement: Include the date of receipt, high level summary of the facts, follow-up timing and signature of the person receiving the grievance. For example:

"Grievance number 3/2018 was received on 13/03/2018. The worker states that he is structurally performing overtime which is not being reimbursed. The worker will be contacted within 10 days to proceed to the next steps." (signature)

Timeframe: The grievance mechanism procedure should aim at resolving grievances as quickly and effectively as possible. However, the timeframes should be realistic and not create false expectations, as resolution may vary depending on the complexity of the grievance.

Step 2: Investigation

The supervisor or the person in charge of the grievance mechanism should:

- Analyse the issue
- Try to identify the root cause(s) of the problem
- Engage and align with the relevant parties: complainant(s), any accused parties, experts, management, etc.
- Identify the potential solutions
- Assess the cost, feasibility and timing of potential solutions
- Make the necessary arrangements to resolve the problem (or remediate)

This analytical approach:

- Identifies the most feasible solutions
- Involves all relevant stakeholders and makes sure all parties are heard during the investigation
- Identifies the most appropriate solution for the specific type of grievance

For example, a grievance against the conditions of the workplace infrastructure will require a different approach and timeline for finding the solution than a grievance related to personal relations with a supervisor or co-worker.

Step 3: Remediation

Once the analysis of the grievance is completed, the supervisor or person in charge of resolving the grievance should call the individual or group for a meeting. The invitation for a meeting can be extended orally or in writing. The advantage of a written invitation is the documented proof. However, depending on the context of the grievance or the company's procedures, a written form may not be an option.

Regardless of whether the invitation to the individual or group is written or oral, it should communicate:

- The day of the meeting
- The place
- Who else will be present (if applicable)

The individual or group should also be informed of her/his right to come to the meeting with a (legal) representative of their choice (fellow worker, trade union representative, community stakeholder, NGO, etc.).During the meeting, the person in charge will provide some background and present the tentative grievance analysis.

Useful tips on how to conduct these conversations

- **Right setting:** Meeting in a neutral setting where workers feel comfortable
- **Small talk:** Starting with small talk (music, films, sports) to let the worker feel at ease, relaxed and more willing to talk about work subjects
- **Body language:** Paying attention to facial expressions, gestures and attitudes
- **Exploratory:** Asking open-ended questions
- **Comfortable:** Listening carefully and not repeating questions if the worker does not seem to understand or is clearly unwilling or uncomfortable to discuss the subject
- **Sensitive:** Changing the topic when emotions are too intense
- **Neutral:** Resisting to make facial expressions of shock, sadness, frustration or other emotions in reaction to what the worker says
- **Notes:** Making sure workers feel comfortable notes are taken at this meeting and they agree to the record after the meeting
- **Empathy:** Being on the same level as the workers (e.g., positioning oneself at the same level as the worker, for example sitting at a table together and not standing above)
- Ensure a woman (if possible, an auditor) interviews a woman especially for sensitive issue such as discrimination or sexual harassment

The individual or group should be given the chance to contribute at every step with explanations, and they should be free to provide feedback on whether the analytical process has been consistent and accurate. They should also be consulted on which solution to the issue would be best for them. Possible solutions can be: restitution, financial or non-financial compensation, prevention of harm, public/private apologies, and more.

Eventually, the person in charge will present the potential solution and he/she will seek the worker's reaction and approval. Minutes should be taken at this meeting.

Ideally, during the remediation meeting, an agreement is reached on the corrective or remediation measures to be taken, as well as the timeframe and responsible actors for the implementation of these measures. After the meeting, the solution for the grievance and those responsible for the implementation of the measures should be posted on the notice boards to inform workers, with full respect of the involved parties' confidentiality.

Step 4: Monitoring, Evaluation and Possible Appeal

The company should verify that the agreed-upon solution and corrective actions are implemented correctly by those that were appointed to do so.

Disagreement on the analysis and proposed corrective actions, as well as any delay in the implementation of agreed upon corrective measures, are grounds for appeal. In addition, the individual or group may raise an additional grievance if they believe their grievance were not addressed accordingly, or if the worker believes he/she has been the victim of retaliation following the grievance (process).

The management should investigate the worker's grievance immediately. Misuse of the grievance mechanism to victimise or harass workers resulting in retaliation should be disciplined (including dismissal of the supervisor or manager), as this behaviour compromises the integrity of the mechanism. The worker may seek other channels of appeal outside the business enterprise. What is possible depends on the national laws and the different arbitration processes and platforms available in the region to address workers' and communities' grievances. Proceedings should be enabled and allowed to be conducted parallel to each other and can be conducted at the same time. Collaboration between the two proceedings can prove to be a benefit at such a time, but only with the explicit and freely given approval of all parties. Finally, national labour laws may define other relevant legal dispute mechanisms to be considered by the individual or the group.

Step 5: Closing and Publication

A high-level summary of the grievance, including the outcome of the investigation, the solution and any corrective measures taken should be publicised on any channels typically used by the company. This can be a website, a notice board or any other communication channel. This should be done in a way that safeguards the privacy (and anonymity) of the involved parties – especially of the individual or group submitting the complaint.

Publication of the solution, respect for the procedure's timeframe, and implementation of the corrective measures in due course are crucial for maintaining the credibility of the grievance mechanism.

Recommended Grievance Handling Forms

Grievance forms should not be complicated documents, but they should:

- Allow the workers to describe the actual grievance
- Allow the business enterprise to track the investigation, conciliation, and remediation steps, when applicable
- Be available to all individuals or groups within and outside the production site

Copies of the forms should be left in places where individuals or groups can access them easily and privately (e.g. changing rooms, the workshops, and other places where workers spend a lot of time). An identification number may be assigned to the grievance (e.g., number / year). This practice will facilitate tracking both the investigation process and the communication process without actually revealing the identity of the worker or the nature of the grievance.

For any workers who face accessibility barriers due to illiteracy or other causes preventing them from filling in the form, the grievance form could be used by the person responsible receiving a grievance to fill it in together with the complainant. Note that for reasons of potential retaliation the person or group submitting the complaint might not feel comfortable to share its name and/or job title. In this case, do not include it in the below forms, but make sure you can follow-up with the individual or group accordingly.

1. Grievance Acceptance Form

Grievance number: n/yyyy					
Submitted by:	First name	Last name	Job title	Date	Signature

Categories	Description (please be as specific as possible):
• Infrastructure	
• Personal Relations	
• Contractual Rights	
• Human Rights	
• Labour Rights	
• Customary Rights	
• Other	

Grievance Handling	
How would you like this issue resolved? What solution would work for you?	

For administrative use only:					
Received by:	First name	Last name	Job title	Date	Signature

2. Grievance Handling Form

Questions to Answer	
I. Grievance Category	• Infrastructure
	• Personal matter
	• Contract Related
	• Human and labour rights
	• Customary rights
	• Other:
Categories	**Description (please be as specific as possible):**
II. Summary of the Facts	
III. Summary of the conducted interviews (if necessary)	
IV. Root-cause analysis	
V. Potential solutions and feasibility assessment (presence of leverage, financial & human resources, etc.)	
VI. Recommended Solution	
VII. Feedback of the case parties	
VIII. Final proposed solution	
IX. Timing and responsible actors to implement the solution	
IX. Follow-up: was the solution implemented accordingly? If not, why not?	
XI. Recommended appeal process	

amfori's Speak for Change Programme – Complementary supply chain grievance mechanism

Members and their business partners may have a procedure to receive grievances from the local community. The steps described above for grievances from workers, as well as the grievance form, may be valid (or require small changes) to address grievances from local communities. Business enterprises should ensure that local community members are aware of their rights and the related channels to lodge grievances.

amfori Speak for Change Programme

The aim of amfori is to strengthen Operational Grievance Mechanisms (OGMs) at production locations and farms through capacity building, training and amfori BSCI tools and functions so that access to remedy can be provided at the local factory- level first. However, we understand that factory-level mechanisms do have their limitations and are not always trusted by complainants. Furthermore, current and upcoming national and regional legislation is obliging amfori members to develop a supply chain grievance mechanism which is complementary to the factory-level grievance mechanism.

Therefore, amfori has set up a supply chain grievance mechanism, amfori Speak for Change, for its members and their business partners. amfori Speak for Change treats all grievances relating to the amfori BSCI Code of Conduct or Responsible Purchasing Practices Guidelines that have not or could not be addressed through the OGMs.

How to promote amfori Speak for Change in their companies?

- Programme Introduction
- Speak for Change Deployment Guide
- Promotion materials

FOR MORE INFORMATION:

Join our training courses on the **amfori Academy**

Visit our website to find the **amfori BSCI Code of Conduct** in 27 languages

For further questions please contact us at: **info@amfori.org**

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